

Wave Kani System

Professional Risk & Trade Management Guide

1. Introduction – The Reality of Trading

Winning money is exciting

But the truth is that **more than 90% of traders fail**, not because the market is impossible, but because they lack discipline, structure, and proper risk control.

The goal of the Wave Kani System is simple:

To make you part of the **10% who survive and succeed by** following strict rules and a proven trading framework.

2. The First Rule – Avoid Greed

Greed is the number one account killer

It makes traders over-leverage, remove stop losses, and enter random trades. The market will always give you another opportunity.

There is no need to rush or over-risk.

Remember :

Protecting capital is your first job. Making profit is second.

3. Capital Loss & Required Gain (IMPORTANT SECTION)

Key Truth:

If you lose **50% of your capital**, you must gain **100% just to return to break-even.**

The bigger the loss, the harder the recovery becomes.
This is why risk control is more important than profit.

This table shows how much profit you need just to **break even after a loss.**

Loss of Capital	% of Gain Required to Recoup Loss
10%	11.11%
20%	25.00%
30%	42.85%
40%	66.66%
50%	100%
60%	150%
70%	233%
80%	400%

4. Risk/Reward Ratio (R:R)

Not every trade is worth taking.

You must filter setups based on Risk vs Reward.

Only take trades with a minimum **R:R of 1:2 or higher**
(Example: Risk \$100 to make \$200 or more)

This keeps you profitable **even with a lower win rate.**

5. Defining Your Risk Plan

You need to define 3 important factors:

- **Risk Per Trade:** Max risk per trade (usually 1% or 0.5% for bigger accounts, 2% for smaller ones).
- **Risk Per Week:** Max drawdown per week (usually 3-5%). If reached, stop trading until week end.
- **Risk Per Month:** Max drawdown per month (usually 5-10%). If reached, stop trading until month end.

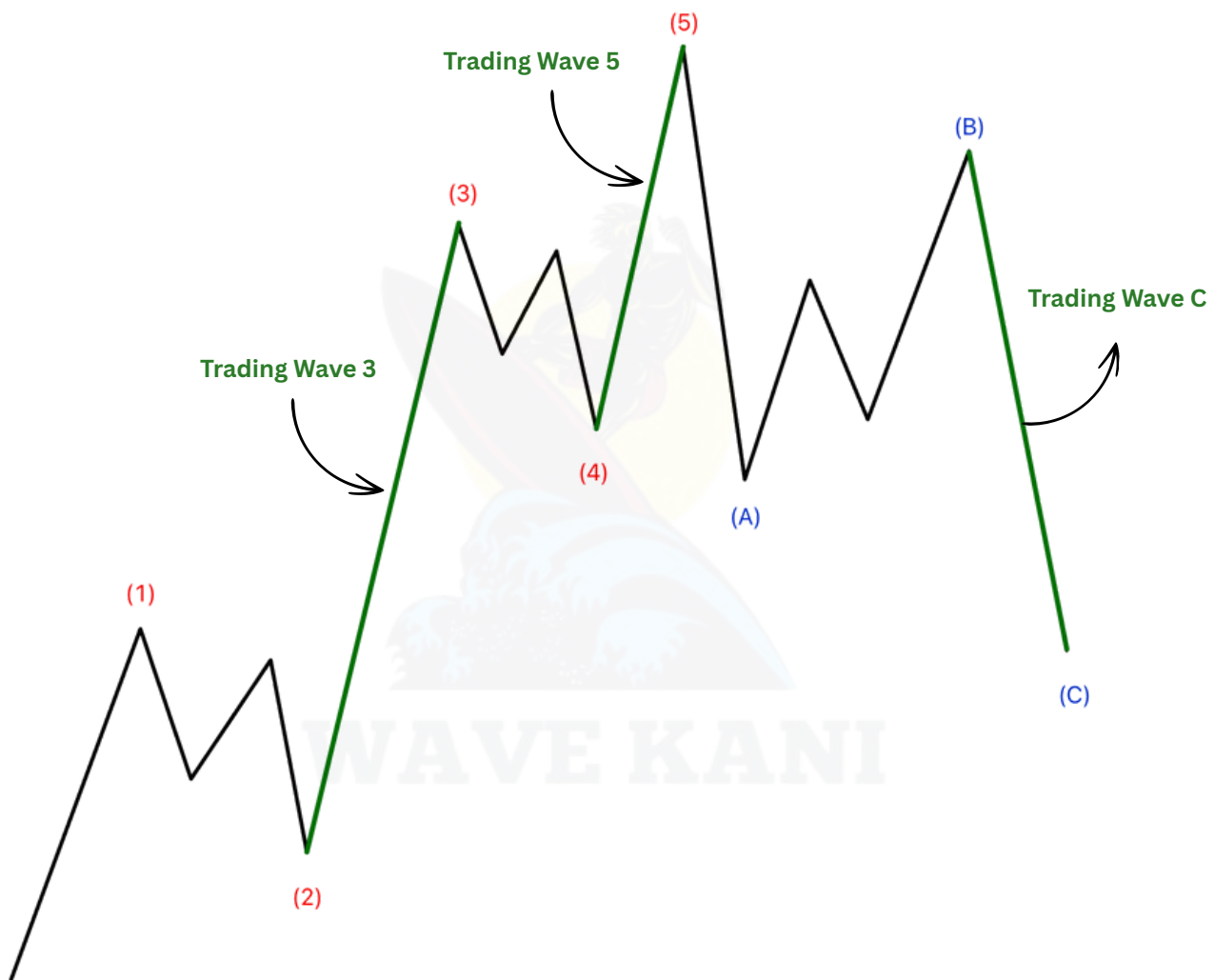
How To Enter Trades With Wave Kani's Strategy

The Wave Kani System trades only **high-probability impulsive** structures.
We focus on:

- **✓ Wave 3** – strongest momentum
- **✓ Wave 5** – final expansion
- **✓ Wave C** – only if Zigzag

All unclear or random corrections are completely ignored.
We only trade clean, confirmed, structured waves.

This keeps trading simple, disciplined, and repeatable.



Trade Models – Wave Kani System

- **Aggressive: M15** – quick entries, intraday targets.
- **Conservative: H1** – stronger confirmation, extended targets.

1) How To Set Up Trades for Wave 3

Entry Point

For all trades, we use Buy Limit / Sell Limit orders.
We do not chase the market – we let price come to us.

Stop Loss

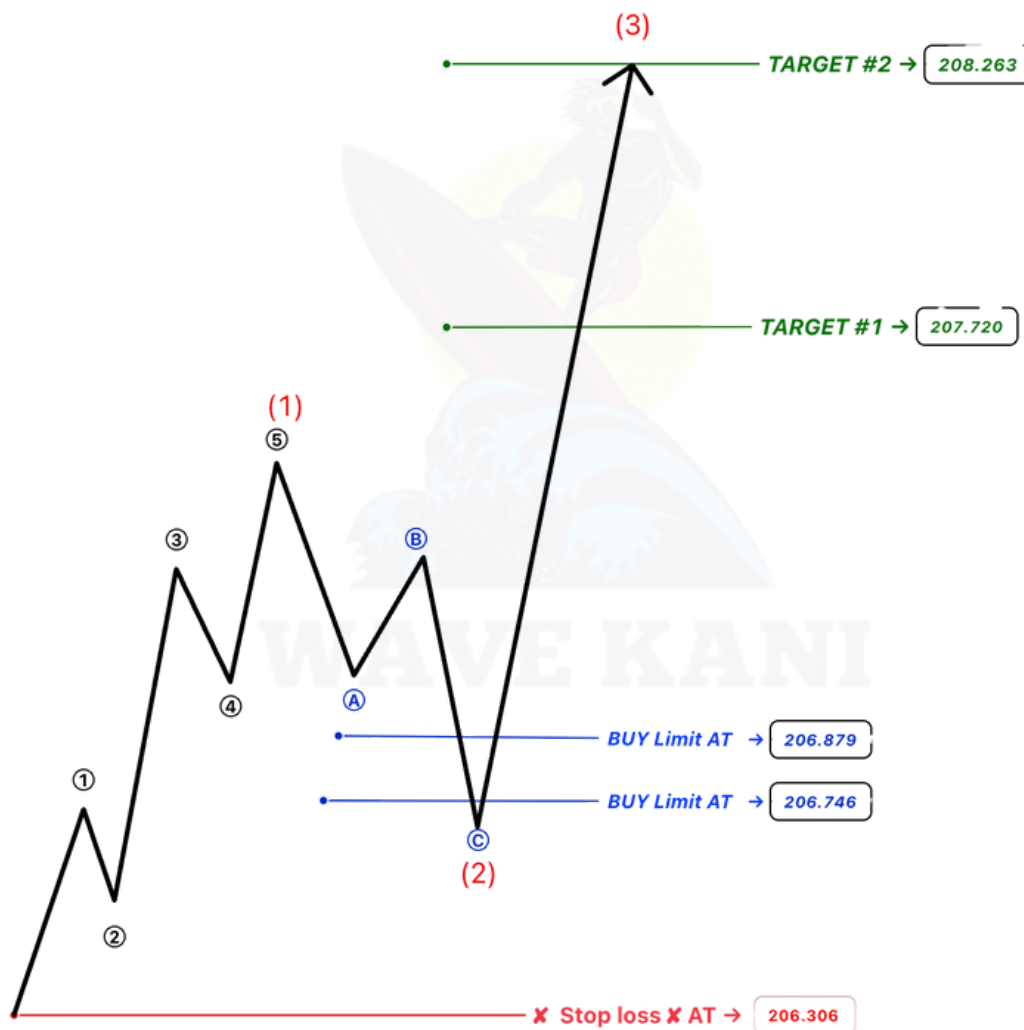
Use the starting point of wave (1) as your stop level.

Take Profit:

We set two take-profit levels for Wave 3:

- TP1: 100% Fibonacci level
- TP2: 161.8% Fibonacci extension

example



! Tips for Trading Wave 3

- Always move your stop loss to break-even immediately after Take Profit 1 (TP1) is reached.
- Never risk more than 1% – 2% of your capital on a single trade.

2) How To Set Up Trades for Wave 5

Entry Point

For entry, we will use a Buy Limit or Sell Limit order depending on the market direction

Stop Loss

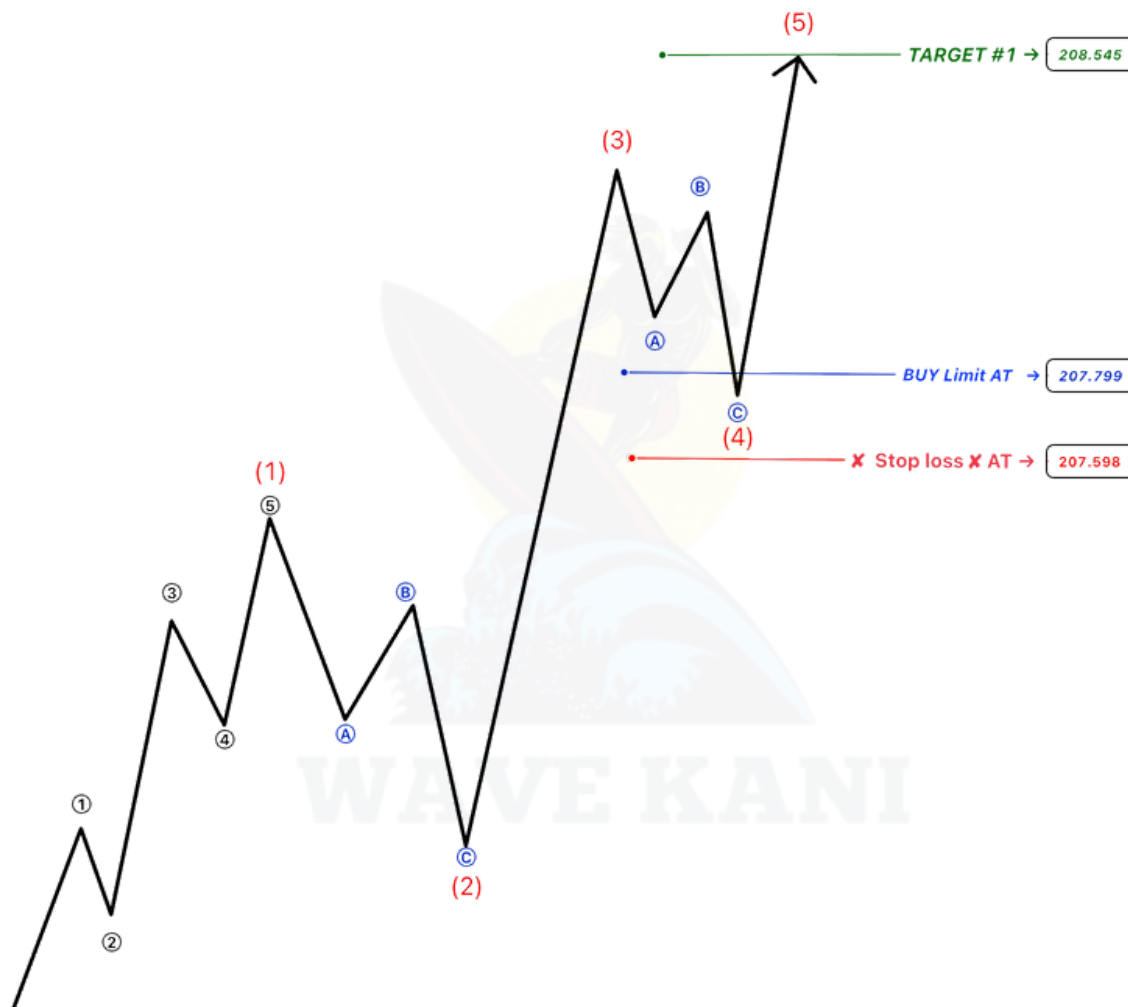
Use 53% of wave (3) as your stop.

Take Profit:

We set one main take-profit level for Wave 5:

- TP: 161.8% Fibonacci extension measured from the length of Wave 4

example



! Tips for Trading Wave 5

- Move stop loss to break even after price breaks above the end of wave (3).
- Recommended Risk: 1% or 2%

2) How To Set Up Trades for Wave C

Entry Point

For all trades, we use Buy Limit / Sell Limit orders.

We do not chase the market — we let price come to us.

Stop Loss

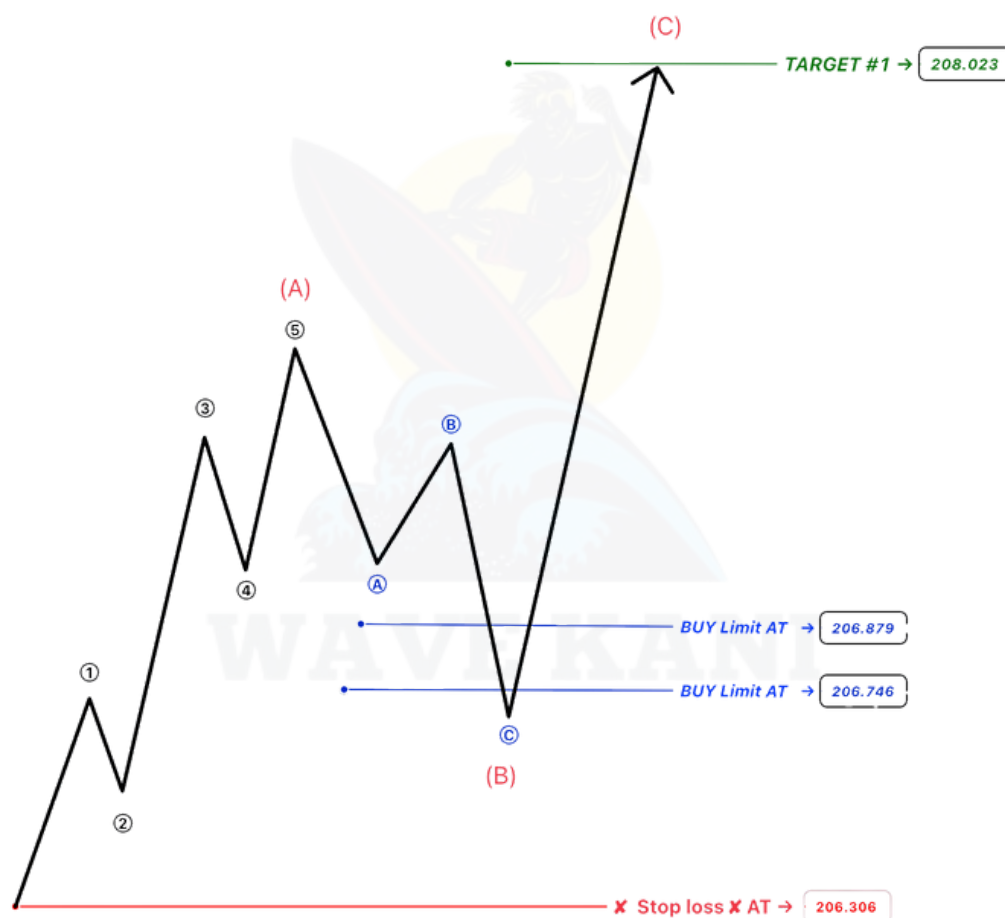
Use the starting point of wave (A) as your stop level.

Take Profit:

We set one main take-profit level for Wave 5:

TP1: 100% Fibonacci level

example



! Tips for Trading Wave 5

- Move stop loss to break even after price breaks above the end of wave (A).
- Recommended Risk: 1% or 2%

Real Trade Example



Premuim Wave kani



XAUUSD Aggressive Setup 30 Min

! Tips For Trading Wave 3
Move stop loss to break even after Take Profit (TP) #1 is reached.

⚠ Recommended risk : 1% 2%



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XAUUSD Conservative Setup 1H

Tip For Trading Wave 5
Move stop loss to break even after price break above the end of wave (3).

⚠ Recommended risk : 1% 2%



Premuim Wave kani



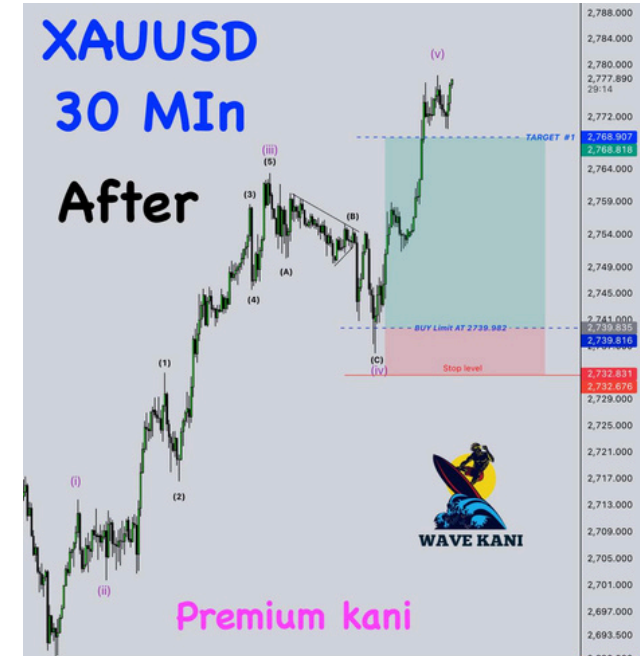
XAUUSD Aggressive Setup 30Min

Tip For Trading Wave 5
Move stop loss to break even after price break above the end of wave (3).

⚠ Recommended risk : 2% 3%



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